

as rising tensions between Israel and Iran. Such situations can drive investors towards gold, as it is seen as a safe-haven asset.

Meanwhile, on the interest rate front, the US Federal Reserve has indicated plans for three rate cuts in 2024. Typically, gold prices move in the opposite direction of interest rates. So, these anticipated cuts could potentially push gold prices higher.

Additionally, central banks worldwide have been accumulating gold reserves since 2022. This buying spree is seen as a way to hedge against currency fluctuations in a volatile market. The World Gold Council reports, “Central banks continued to be major gold buyers, adding 290 tonnes to global holdings in the last quarter alone. This consistent and significant buying by official institutions underscores the growing importance of gold in international reserves, especially during times of market uncertainty.”

But according to Rogers, this phenomenon should be

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FOR DECADES, GOLD HAS DEMONSTRATED ITS WORTH AS AN ASSET BY RETAINING ITS VALUE OR INCREASING IT, ESPECIALLY DURING VOLATILE MARKET PERIODS

seen with caution. “Central banks often sell gold for their use. But if they are not selling but buying, who knows, they might be looking at incoming turmoil.”

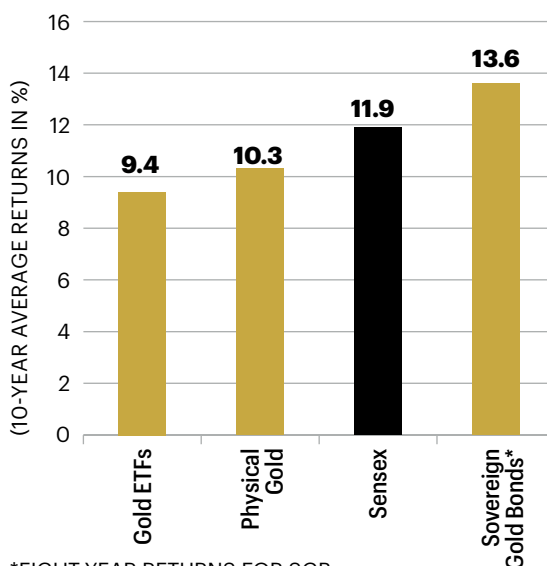
WAYS TO INVEST

Gold prices are largely volatile during periods of economic and political instability and, hence, investing in gold in a staggered way would be the best option.

Adhil Shetty, CEO of insurance company Bank-Bazaar.com, says, “If you are considering investing in gold, especially during a price hike, ensure it aligns with your financial goals like diversification, wealth-creation, or fulfilling long-term goals. Also, assess your investment horizon for short-term gains, as you may be more susceptible to market volatility as opposed to long-term gains. Given that, a staggered purchase strategy that involves buying smaller amounts over some time may help reduce the impact of price

GOLDEN GOOSE CHASE

- Investing in gold can be done in two primary ways: physical and digital
- Analysts believe the appeal of digital gold lies in liquidity, cost-effectiveness, and convenience



*EIGHT-YEAR RETURNS FOR SGBs

NOTE DATA AS ON JUNE 3, 2024

SOURCE BT RESEARCH

fluctuations, allowing for a balanced purchase price.”

“Adopting a staggered investing approach during significant price drops (e.g., 10-15% from peak levels) can enhance returns. This strategy gives you the benefit of disciplined investing with the opportunity to capitalise on market corrections,” says Trivedi.

GROWING YOUR GOLD

For decades, gold has demonstrated its worth as an asset by retaining its value or increasing it, especially during volatile periods. It is also a suitable asset to diversify one’s portfolio. Investing in gold can be done in two primary ways: physical and digital. Each method has its own set of advantages and disadvantages.

One can also invest in digital gold; however, it is still an unregulated space. Investors should be careful about investing in digital gold, even if some company offers rewards or cashbacks for investing.

Physical gold is usually in the form of bars, ingots, coins, or jewellery. Physical ownership of gold can be